

WARNING: A Recession Is Coming

Channel: Brandon Carter · Published: Oct 05, 2026 · Watch: <https://www.youtube.com/watch?v=uXXkzARNgqc> Source: full transcript

Executive Summary

Veteran investor "Moneyberg" (Derek) breaks down why a recession is approaching—citing the inverted yield curve, AI-driven job displacement, and rising rates—and shares precise strategies (shorting, leveraged ETFs, put options, energy infrastructure) to not just survive but profit.

Contents

-  Introduction: Why Recessions Excite Moneyberg
-  The Inverted Yield Curve Explained
-  How Tightening Credit Spirals Into Recession
-  AI as a Structural Job Killer
-  How Moneyberg Made \$42M in 20 Months
-  Shorting the Market and Leveraged ETFs
-  Selling Put Options: The Core Strategy
-  Where Moneyberg Is Putting His Money Now
-  Geopolitics, Energy, and the China-AI Race
-  Mindset: Education Over Entertainment

Introduction: Why Recessions Excite Moneyberg 1:57

- Brandon Carter frames the video: visible warning signs (inverted yield curve approach, AI job displacement, climbing mortgage rates, tightening bank credit) prompted him to consult his long-time friend and mentor "Moneyberg" (Derek)
 - Moneyberg's reaction to the data: not worried — excited
 - His core belief: "You can make money if the economy is going good, the economy is going bad — you can make even more money when things are going to [hell]"
- Moneyberg has not held a job since age 19
 - Credits John D. Rockefeller: *"People that have jobs don't have no time to get rich"*
 - Built wealth as a serial entrepreneur, real estate investor, stock market investor, and through other financial assets
- When ordinary people are panicking and losing jobs, Moneyberg describes the feeling as "a dream come true" — like "love is in the air"

The Inverted Yield Curve Explained 5:03

- The yield curve has not yet inverted at time of recording, but is approaching inversion rapidly
 - 2-year Treasury yield: **4.28%**
 - 10-year Treasury yield: **5.00%** (approximately)
 - Spread: **~98 basis points** — and collapsing fast from a much wider gap in prior months
- How it works:
 - The Federal Reserve controls **short-term** interest rates directly
 - The **market** sets long-term rates — those rates reflect investor confidence in the economy's future
 - When the Fed raises short-term rates but long-term rates don't rise proportionally, it signals the market has **no faith in the long-term economy**
 - When short-term rates exceed long-term rates → **inverted yield curve**
- Historical significance:
 - Described as "the number one most reliable predictor" of recession
 - Typically predicts recession **12 to 24 months** in advance
 - Has worked "for forever" — over decades of data
 - Acts as a near self-fulfilling prophecy: media covers it → consumer confidence drops → spending falls → economy slows
- Fed's signaled next moves at time of recording:
 - Additional **100 basis points (1%)** of rate hikes indicated between then and May
 - If implemented: mortgage rates projected to reach **8.5%+**

How Tightening Credit Spirals Into Recession 7:44

- Banks make money by borrowing short-term and lending long-term (earning the spread)
 - With an inverted or near-inverted curve, the spread goes **negative** — banks stop making loans
 - Example: "If you could borrow money for 5% and get paid back 4%, nobody's going to do that"
- Credit card limits get slashed:
 - Example: someone with a \$50,000 credit card limit, using \$10,000 (20% utilization), had ~80% available
 - Bank cuts \$30,000–\$40,000 of that limit → safety buffer disappears
 - Utilization jumps from 20% to 50–100% → **credit score drops**
- Housing market impact:
 - At 8.5% mortgage rates, buyers can only afford **cheaper homes** → downward price pressure on expensive properties
 - More expensive homes sit on the market; fewer people can qualify for financing
 - Loss of **"wealth effect"**: homeowners who felt rich (e.g., paid \$500K, now worth \$800K) lose the psychological comfort to spend discretionarily

- Negative feedback loop:
 - Falling home values + falling stock prices → reduced consumer confidence → less discretionary spending → more job losses → further economic contraction
 - Wealthy, informed investors are also **not buying long-term bonds** (selling at a discount) and **not taking business loans** or expanding businesses — anticipating stagnation
 - Result: stagnated or shrinking job market even before AI factor is added

AI as a Structural Job Killer 2:20

- Moneyberg's view: the recession would happen from rate hikes alone, but AI makes it **far worse and structural**
 - "The things that are happening never happened in human history before with the ability of computers to teach themselves"
 - AI capability is improving dramatically every **3 months**, with noticeable change even week to week (e.g., "ChatGPT had four model releases this month")
- Professions at risk — if you're not in the **top 1% of your field**, you likely won't have a job:
 - Low-level attorneys
 - Accountants
 - Radiologists ("You don't need a human to read an X-ray when the machine can do it better")
 - Surgeons — robotic surgery tools are already being used remotely and simultaneously **training the AI to replace the surgeon**
- Fed policy error: raising rates while AI is simultaneously destroying jobs
 - The Fed has a **dual mandate**: 2% inflation target AND healthy employment
 - Moneyberg argues it was a mistake to raise rates when AI is already threatening jobs
 - Risk: job growth stalls → AI takes more jobs → sudden, large-scale unemployment → Fed scrambles to cut rates playing catch-up
 - "You could turn that right around and have significant job loss"

How Moneyberg Made \$42M in 20 Months 16:11

- Time period: **March 2020 through November 2021**
- **Net worth increase: ~\$42 million** — primarily from the stock market
- His accountant (a master's degree holder and university professor) was confused by how much money came specifically from **selling put options**
 - "He wasn't surprised that I was up tens of millions of dollars... but so much of that money came from puts. He was confused how you can make so much money selling puts."
- Brandon Carter confirms he also made "a ridiculous amount of money" after Moneyberg taught him cash-secured puts and covered calls
 - Used this income (without touching principal) to purchase a Rolls-Royce Phantom in New York

- Also gifted Moneyberg a Rolex as thanks — which Moneyberg credits as the start of his watch collection (now 7 Rolexes, including a platinum President)

Shorting the Market and Leveraged ETFs 13:50

- Shorting is described as "some of the fastest money that can be made in the world" — but also the fastest way to go bankrupt if you don't know what you're doing
 - "It's not easy money. But it is reliable money — if you know what you're doing"
 - Goal: be right **~80% of the time** on equal-sized bets → very large profits
- Moneyberg's COVID example:
 - Shorted the market broadly **and** specifically shorted **consumer discretionary**
 - One day the S&P 500 was down **13%** — Moneyberg was **up 39%** (3x inverse leverage)
- Tools for shorting without picking individual stocks:
 - **Leveraged ETFs**: 2x or 3x leverage
 - **Inverse ETFs**: pay out when the market goes down
 - These allow sector-level bets (e.g., shorting consumer discretionary as a whole)
- Brandon's personal example: bought **XLE** (energy sector ETF) plus call options on it
 - Up **30–35%** on the ETF position
 - Thesis: AI requires massive electricity → energy sector must outperform
 - Additional catalyst: removal of Maduro from Venezuela also boosted XLE

Selling Put Options: The Core Strategy 15:27

- Moneyberg's favorite tool in a declining market: **selling (writing) put options**
- How it works conceptually:
 - Think of a put contract as **selling insurance** on a stock
 - The buyer pays a premium to ensure their stock position down to a specific strike price by a specific date
 - As the seller, you collect that premium
 - Two outcomes:
 - Stock hits your strike price → you **buy the stock at a price you already wanted**, at an even more favorable (lower) level
 - Stock doesn't hit your strike price → you simply **keep the premium**, no shares purchased
- Return potential: **2–3% per week** is achievable
 - Example: sell puts on Monday or Tuesday expiring Friday → collect premium in 4–5 days
- Both Moneyberg and Brandon use **weekly contracts exclusively**:
 - Moneyberg: sells puts expiring "this Friday or next Friday" — never further out
 - Brandon: sells on Mondays, all positions expire on Friday

- Key requirement: "If your brain works and you understand how money moves around the world, you have a basic understanding of finance, economics, and human psychology" — but you cannot learn this alone
 - Moneyberg's strong assertion: "It's not the type of thing you're going to learn by yourself"
 - A coach/mentor is essential

Moneyberg added approximately **\$42 million to his net worth in 20 months** — March 2020 to November 2021 — largely by selling weekly put options during the COVID crash and recovery.

⚡ Where Moneyberg Is Putting His Money Now 21:32

- Core thesis: not every stock falls in a recession — focus on sectors that **must** grow regardless
- **AI infrastructure / big tech:**
 - Bought a "decent chunk" of **Meta (Facebook)** stock
 - Rationale: Mark Zuckerberg investing "a couple hundred billion dollars" building an elite AI team
 - Position is up; Moneyberg says he wouldn't buy more at current prices but has already profited
- **Natural gas pipelines:**
 - AI data centers require enormous electricity; electricity is generated by burning natural gas
 - **82 natural gas plants currently under construction** in the US (per data read a few weeks before recording)
 - Moneyberg does not own the plants — he owns **the pipelines** that carry the gas
 - Bought heavily during the last recession; position is up significantly
 - Dividends collected have "literally more than paid for the stocks" — effectively owns the shares for free
 - Shares are now worth "millions and millions of dollars"
- **Nuclear energy / Uranium:**
 - Long-term energy solution: not wind or solar — **nuclear**
 - Invested heavily in **uranium mines** and uranium broadly
 - **SMRs (Small Modular Reactors):**
 - Sector ticker: **SMR** (also owns the individual stock)
 - A small modular reactor powers a data center, small community, or large town (example: 100 megawatt capacity)
 - Technology has existed for **50+ years** — just scaled down
 - Currently **3 out of 4 steps** through government approval process for mass production
 - Moneyberg's bet: if the US doesn't build nuclear, it cannot compete with China in AI — making this a near-certainty
 - Framing: "If I'm wrong, we live in such a dystopia that we'll all have much bigger problems than our stock portfolio. If I'm right, I'll have a very outsized profit."
- **Energy sector ETF (Brandon's position):**

- Brandon bought **XLE** (S&P 500 Energy Sector ETF) plus call options
- Up **30–35%** at time of recording
- Dual tailwinds: AI electricity demand thesis + Venezuela geopolitical catalyst

Geopolitics, Energy, and the China-AI Race 27:37

- China imports **70% of its oil** (only produces 30% domestically)
- China's top oil suppliers (before US intervention):
 - **#1: Venezuela** (largest proven oil reserves in the world — **65 billion barrels**)
 - **#2: Iran**
 - **#3: Saudi Arabia**
- **Venezuela operation:**
 - Maduro was protected not by Venezuelan military but by **Cuban military** — he traded oil to Cuba in exchange for protection
 - US sent **130+ aircraft and drones**, deployed sonic weapons, shut down radar systems
 - **~30 US personnel on the ground** — killed all opposition, extracted Maduro and his wife to New York
 - Effects:
 - Cuba lost Venezuelan oil → power outages across Cuba now frequent
 - Cuban regime destabilized — Moneyberg half-jokes Cuba could become the **51st US state**
 - US now controls negotiating rights over **65 billion barrels** through the new Venezuela government
- **Iran operation** (approximately one month after Venezuela):
 - Supreme Leader Ayatollah eliminated — **38 minutes** from first US engagement to his death
 - Moneyberg's assessment: Iran has minimal military capability; the US could destroy their desalination plants (no water), power plants, and bridges within **4 hours** if it chose to
- **Saudi Arabia:**
 - Moneyberg's inference: Trump had a private conversation with Saudi leadership
 - Message: stop routing oil sales to China around US sanctions — or face consequences (they'd seen Venezuela and Iran)
 - Saudi Arabia significantly reduced oil sales to China as a result
- **Net result for China:** all three major oil suppliers cut off or restricted → China faces a serious energy crisis
 - "China's oil is way down. That's a serious problem for them to solve and a good distraction away from their AI progress."
- **Trump's China diplomatic visit:**
 - Arrived in a position of strength (China now energy-constrained)
 - Negotiated Boeing aircraft purchases: China initially agreed to 100 aircraft; Trump pushed for **200**
 - Moneyberg's read: "A masterful negotiation"
- **Big picture thesis:** All roads lead back to AI dominance

- "If America doesn't beat China in the AI race, the whole world is really [in trouble]"
- Energy control = AI dominance = geopolitical supremacy
- Elon Musk quote referenced: energy may literally **replace the dollar** as the world's reserve currency
- Venezuela/Iran actions were not about imminent threats from those countries — they were a **negotiation with China** about energy control

Mindset: Education Over Entertainment 36:44

- Moneyberg's core belief: most people have the **capacity** to learn — the issue is being unwilling, not unable
 - "A person that likes entertainment more than education is going to really struggle to outperform. They'll end up with a pretty average outcome."
- On books vs. real-world mentors:
 - Critic noted Moneyberg reads fewer books than he used to
 - His response: he now spends time **in person** with the people who wrote those books — multi-time world champion athletes, Olympic medalists, Tier 1 military operators, top business people
 - "I'm literally having the same information exchange, but now I'm doing it in real life"
- Academic background: undergraduate and graduate studies in business, economics, and finance at what he describes as the best graduate school in the country
 - "All that nerd stuff made me a lot of money later. It was boring. I really hated it. But I really love the outcomes."
- Personal transformation parallel: Moneyberg was once **over 300 lbs**; at time of recording is **256–258 lbs at under 10% body fat**
 - Draws explicit parallel: just as muscles aren't built accidentally, wealth isn't built accidentally — both require focused discipline, proper nourishment, and doing the reps
- On wealth and material goods:
 - Drove a **2004 Honda with 210,000+ miles** when he had **\$4.5 million** in the bank — felt completely fine about it
 - Now has luxury cars he rides in the **back of** (with a driver) — including a purple Rolls-Royce Phantom
 - "I never sat in the driver's seat [of a Rolls-Royce]. Only poor people drive their own Rolls-Royce."
 - Key principle: investments paid for the cars and jewelry, not labor income
- Closing advice:
 - Find someone who has already done what you want to do
 - Be coachable and value education over entertainment
 - Lazy people are not highly rewarded — this has been Moneyberg's consistent experience
 - "If you have the right discipline and the right teacher, you can change your life dramatically"